

Green Bond Label Verification

Problem

An issuer markets a bond as green but supporting documentation is incomplete.

Regulatory Requirements

EU Green Bond Standard, EU Taxonomy.

Options Considered

A: Accept issuer label. B: Remove green label. C: Flag label as unverified.

Decision

Flag label as unverified.

Reasoning

Verification status separates issuer claims from validated sustainability attributes.

Risks

Greenwashing risk, issuer dispute, client reliance risk.